

21. Explain any six (6) legal procedures to consider while starting an enterprise.

1. Business Registration - Legally registering the business name and structure.
2. Tax Registration - Getting a Tax Identification Number (TIN) for VAT and income tax.
3. Licensing - Obtaining the required licenses or permits to operate.
4. Compliance with Labour Laws - Adhering to employment and safety standards.
5. Environmental Approvals - Ensuring the business complies with environmental regulations.
6. Insurance Requirements - Getting appropriate insurance coverage for risk management.

22. What is a business loan? Explain any six (6) factors to be considered while applying for a business loan.

A business loan is money borrowed from a lender to finance business activities.

Factors to consider:

1. Loan amount needed
2. Interest rate
3. Repayment terms
4. Collateral or security
5. Purpose of the loan
6. Creditworthiness of the borrower

23. Explain any six (6) key attributes of an entrepreneur.

1. Innovation - Ability to create new ideas or improve existing ones
2. Risk-taking - Willing to face uncertainty and take calculated risks
3. Vision - Clear idea of what they want to achieve
4. Leadership - Ability to guide and inspire others
5. Persistence - Determination to overcome challenges

6. Decision-making skills - Can make sound business decisions

24. Explain any six (6) reasons why businesses usually collapse.

1. Poor management
2. Lack of capital
3. Poor marketing strategies
4. Inadequate planning
5. Competition
6. Failure to adapt to changes

25. What is self-employment? Elaborate any five advantages of self-employment.

Self-employment is working for oneself rather than for an employer.

Advantages:

1. Full control and independence
2. Flexible working hours
3. Keep all profits
4. Personal satisfaction
5. Opportunity for creativity

26. If someone plans to start a business, he/she shall write a business plan. Elaborate the components of a business plan.

1. Executive Summary - Overview of the business
2. Company Description - Nature and goals of the business
3. Market Analysis - Research on industry, market, and competitors
4. Organization and Management - Business structure and team
5. Products/Services - What the business offers
6. Marketing and Sales Strategy - How to attract and retain customers

7. Financial Plan - Budget, funding, and projections

27. Mention and explain any six (6) methods of developing a business idea.

1. Brainstorming - Generating ideas through creative thinking
2. Market research - Identifying gaps or needs in the market
3. Personal experience - Solving problems based on personal challenges
4. Observation - Noticing trends and customer behavior
5. Innovation - Improving existing products or services
6. Franchising - Using proven business models under a brand

28. Explain any six (6) effects of entrepreneurship to the society.

1. Job creation
2. Improved living standards
3. Economic growth
4. Innovation and development
5. Wealth distribution
6. Solving social problems